

3.2.5 The role of money and financial markets

Students look at the role of money, its functions and the role and importance of the financial markets. The importance to consumers, producers and government with respect to saving, borrowing and spending will be examined.

3.2.5.1 The role of money

Content	Additional information
• Functions of money • Definition of money	Students should be able to understand: • the use of money as a means of deferred payment, store of value, a unit of account and a medium of exchange • that money can be defined as more than the amount of banknotes and coins in circulation.

3.2.5.2 The role and importance of the financial sector for the economy

Content	Additional information
• The financial sector • The role of the Bank of England • The role of other institutions in the financial sector	Students should be able to understand: • the main agents in the financial sector such as the Bank of England, commercial banks and building societies • the role of the Bank of England in influencing interest rates and ensuring stability of the financial system • the role of high street banks in helping to fund investment and providing a service for savers and borrowers.